

2026

NIGERIA PMC

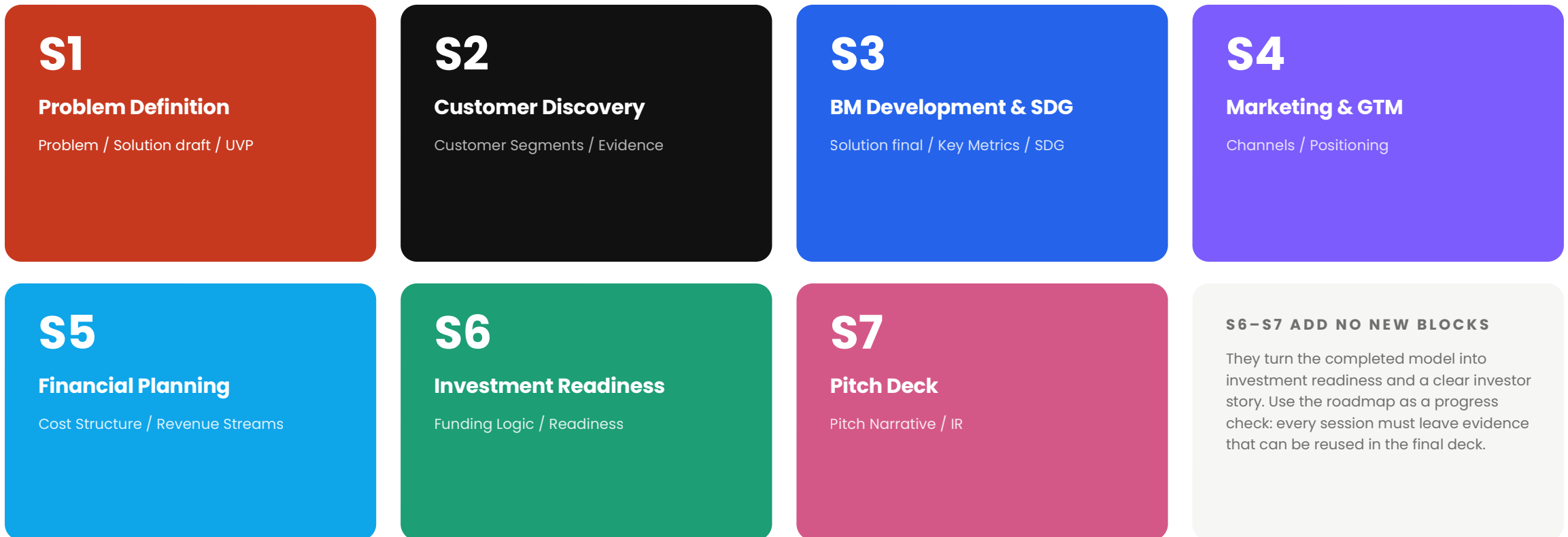
BUSINESS MODEL DEVELOPMENT & SDG

Business Model Development & SDG · **Session 3**

KOICA PMC

Seven Sessions Build One Business Model

S1–S5 complete the 9 blocks. S6–S7 turn the model into investment readiness and investor communication.



**9 BLOCKS BUILT
ACROSS S1–S5**

Problem

Solution

UVP

Segments

Metrics

Channels

Costs

Revenue

Advantage

Lean Canvas Build Map

S1–S5 complete the 9 blocks. S6–S7 translate the completed model into investor communication.

01

Problem

Top 3 pains Existing alternatives

02

Solution

Top features · MVP direction

TODAY

03

Unique Value Proposition

Clear promise Why now / why you

04

Unfair Advantage

Hard-to-copy edge · Data, trust, network

TODAY

05

Customer Segments

Early adopters Decision makers

06

Key Metrics

Learning metrics · Impact metrics

TODAY

07

Channels

Reach and conversion · GTM path

08

Cost Structure

Fixed / variable costs · Runway logic

09

Revenue Streams

Pricing and capture · Revenue model

TODAY Confirm the Solution drafted in S1 and validated in S2. Write Key Metrics and Unfair Advantage.

What This Session Produces

Every session leaves participants with a usable BM artifact.

LESSON GOAL Build a model where customer value, SDG impact, and advantage reinforce each other.

01

Solution Direction

Refine the product around validated pain.

This keeps the product tied to validated pain.

02

Key Metrics

Define what proves progress.

This shows whether the model is learning or only looking busy.

03

SDG Alignment

Connect impact to measurable outcomes.

This connects impact to measurable customer and business outcomes.

04

Unfair Advantage

Identify what becomes hard to copy.

This names what could become hard for competitors to copy.

PART 1

From Evidence to Model

A business model is a system, not a form.

Do Not Add Features Too Early

Refine around evidence, not imagination.

RISK

Feature Pile

Many functions, unclear learning, heavy cost.

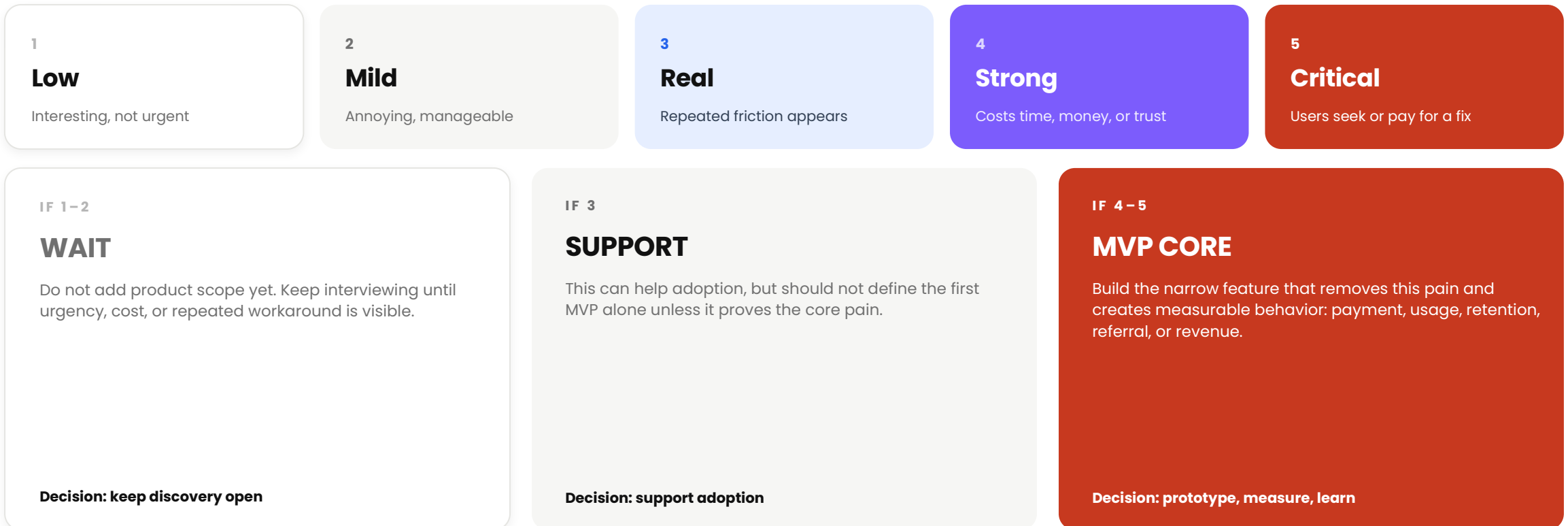
BETTER DIRECTION

Solution Direction

Few functions tied to validated pain and measurable behavior.

Use Pain Intensity to Choose the First MVP Feature

A feature belongs in the first product only when it removes a repeated, costly pain.



RULE Feature priority should follow evidence of pain intensity, not founder preference or feature excitement.

Solution Hypothesis Formula

Make the solution testable.

If we provide **[solution]**, **[customer]** will **[behavior]** because **[pain]** matters.

01

Solution

What you provide

02

Customer

Who acts

03

Behavior

What changes

04

Pain

Why they act

Vanity Metrics vs Learning Metrics

Measure behavior that changes decisions.

RISK

Vanity

Followers, impressions, downloads without action.

BETTER DIRECTION

Learning

Activation, repeat use, payment, referral, pain reduction.

Moniepoint: MSME Banking Logic

The model fits a repeated small-business workflow.

CASE STUDY

Moniepoint

Read the case as a decision: what pain was real, what evidence mattered, and what can transfer to the team's own model?

01 Problem

MSMEs need reliable transaction, payment, and banking tools that fit daily merchant operations rather than generic consumer banking.

02 Segment

Small merchants and operators who receive payments frequently, manage cash flow daily, and need support they can trust.

03 Metric

Transaction activity, merchant retention, repeat usage, and active business accounts show whether the workflow is becoming habit.

04 Advantage

Distribution, merchant trust, support presence, and transaction data can reinforce each other as the network grows.

OPay: Access and Distribution

Financial access depends on channels and trust.

CASE STUDY

OPay

Read the case as a decision: what pain was real, what evidence mattered, and what can transfer to the team's own model?

01 Problem

Many users lack convenient, trusted financial access near where they live, work, and transact.

02 Solution

Mobile money plus agent distribution turns access into a daily-use channel, not only an app feature.

03 Metric

Active wallets, transaction frequency, agent activity, and repeat use reveal whether access becomes behavior.

04 Advantage

Dense offline-online distribution can lower adoption friction and make financial access harder for purely digital competitors to copy.

How Nigerian Cases Map Into the 9 Blocks

A strong BM case explains how customer pain, channel, revenue, metrics, and advantage reinforce each other.

01 Moniepoint

MSME banking becomes credible when merchant workflow, agent/distribution access, and transaction activity fit together.

BM reading: Segment = SMEs; Channel = offline/agent reach; Metric = merchant transaction activity; Advantage = trust and distribution.

02 OPay

A mobile finance model depends on access, habit formation, and dense distribution, not only app features.

BM reading: Problem = access friction; Channel = agent/mobile network; Metric = active wallets and transaction frequency.

03 Paystack

Payment infrastructure became investable because the pain was revenue-linked and the first user group was reachable through developers.

BM reading: Segment = merchants/developers; Solution = payment API; Advantage = integration and merchant trust.

04 Flutterwave

A cross-border payment story needs corridor logic, merchant use case, compliance ability, and transaction scale.

BM reading: Problem = fragmented payments; Revenue = transaction take-rate; Advantage = pan-African infrastructure.

Startups Need Different Proof

How are you going to tell your business is successful or has potential?

ESTABLISHED YARDSTICK

CONGLOMERATE & SMB

Revenue

Net Profit

Employee

NO ESTABLISHED YARDSTICK YET

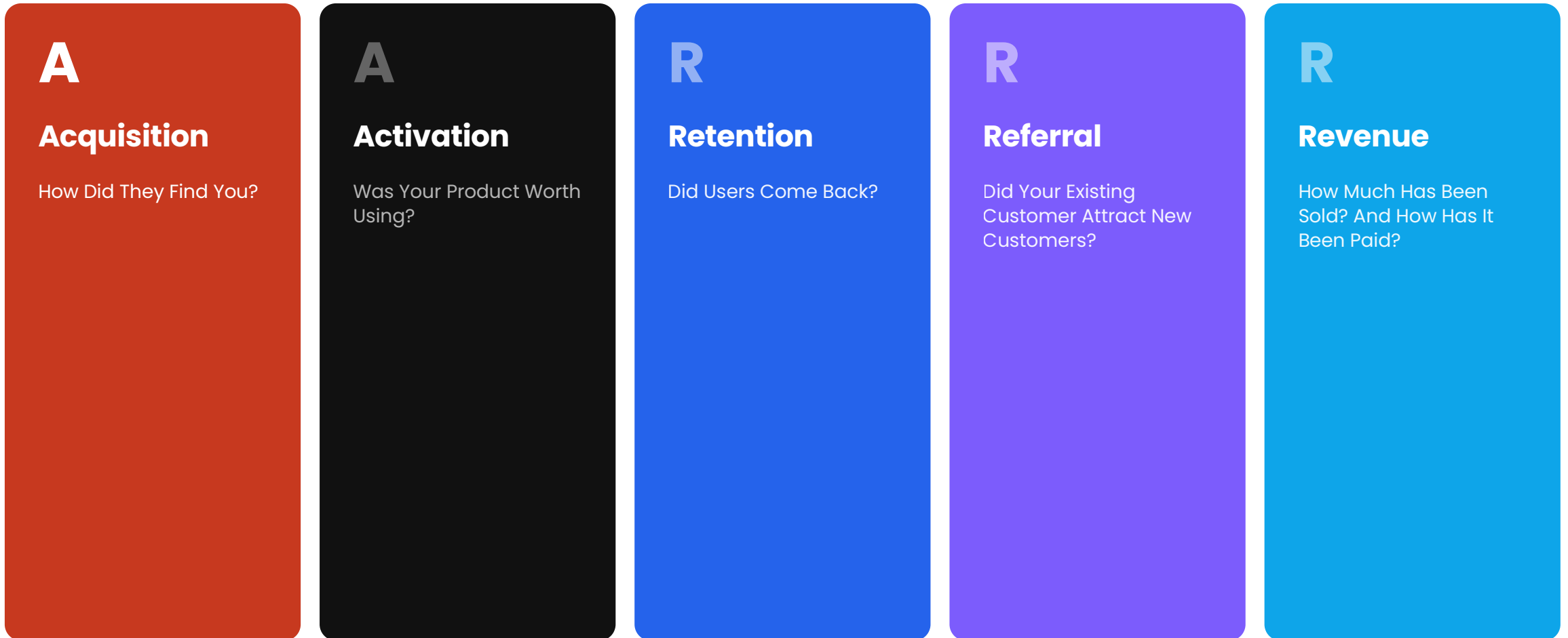
STARTUPS & MICRO BIZ

?? ?? ?? ??

Early-stage companies have little revenue and few employees. Key Metrics become the yardstick that proves potential instead.

AARRR Turns Metrics Into Growth Evidence

Data Building & AARRR



AARRR Formulas: Acquisition & Activation

Acquisition & Activation

Acquisition

1 CAC

Total marketing & sales spend ÷ # new customers acquired

2 Channel Conversion Rate

new customers from channel ÷ total channel reach × 100

3 Organic vs Paid Ratio

organic new customers ÷ # paid new customers

Activation

1 Activation Rate

users who completed key first action ÷ # new signups × 100

2 Time-to-Value (TTV)

Date of first completed core action - Date of first sign-up or contact

3 Organic vs Paid Ratio

organic new customers ÷ # paid new customers

Retention, Referral & Revenue Metrics

Retention · Referral · Revenue

Retention

1 Retention Rate

$(\text{End customers} - \text{new acquired}) \div \text{start customers} \times 100$

2 Churn Rate

$\# \text{ customers lost} \div \# \text{ customers at start} \times 100$

3 Repeat Purchase Rate

$\# \text{ customers with } \geq 2 \text{ transactions} \div \text{total customers}$

Referral

1 Referral Rate

$\# \text{ new customers from referral} \div \text{total new customers} \times 100$

2 Viral Coefficient (K)

$\text{Avg } \# \text{ invites sent per user} \times \text{invite acceptance rate}$

Revenue

1 ARPU

$\text{Total revenue} \div \# \text{ active users}$

2 LTV

$\text{ARPU} \times \text{Average customer lifespan (months)}$

3 LTV : CAC Ratio

$\text{LTV} \div \text{CAC}$ (healthy benchmark: 3 or above)

Metrics Become Investor Evidence

Data Building & AARRR

01

Company Overview

One-pager · Pitch Deck (latest) ·
Executive Summary

02

Business Model

Lean Canvas / BMC · Revenue model ·
Pricing structure

03

Market & Traction

TAM/SAM/SOM · Competitive landscape ·
AARRR · Testimonials

04

Financial

P&L 12mo · Cash flow · 3Y projections ·
Cap table

05

Product

Product roadmap · Demo / prototype ·
Tech stack

06

Team

Founder bios & LinkedIn · Org chart · Key
hires plan

07

Legal

Incorporation · Shareholder agreement ·
IP · Key contracts

08

Appendix

Press & media · Awards · Reference
letters

LESSON POINT Key Metrics often turns into the most important factor to convince investors.

Market & Traction Is the Data Room Engine

Data Building & AARRR

03

Market & Traction

TAM / SAM / SOM · Competitive landscape ·
AARRR · Testimonials

**Market & Traction is the most important
engine of a company.**

01

Company Overview

One-pager · Pitch Deck · Executive
Summary

02

Business Model

Lean Canvas / BMC · Revenue model ·
Pricing

04

Financial

P&L 12mo · Cash flow · 3Y projections ·
Cap table

05

Product

Product roadmap · Demo / prototype ·
Tech stack

06

Team

Founder bios & LinkedIn · Org chart ·
Key hires plan

07

Legal

Incorporation · Shareholder
agreement · IP · Contracts

08

Appendix

Press & media · Awards · Reference letters

Market & Traction Data + Revenue + Equity Protection

455,000 reservations net · Aug 2017 · 12% cancellation · \$1,000 deposit

DAY 0 · MAR 31, 2016

115K+

reservations before reveal ended

DAY 1 · APR 1, 2016

180K

reservations · ~\$180M deposits

WEEK 1 · APR 7, 2016

325K

reservations · \$14B potential sales

H1 2016

\$400M+

cumulative deposit cash flow

AUG 2017

455K

net reservations outstanding

01

Demand Proof

325K paid reservations = undeniable market signal

02

Cash Float

\$400M+ deposits funded operations pre-delivery

03

Collateral

Deposit pool backed credit & manufacturing finance

04

Non-Dilutive Cash

Customer deposits funded operations without issuing shares

KEY LESSON

A single metric — reservation count — was simultaneously a demand signal, a cash asset, a financing lever, and a source of funding that required no new shares.

PART 2

SDG and Impact Integration

Impact must be designed into the model.

SDG Is Not Decoration

Impact claims must connect to real user outcomes.

01

Problem Link

Which social problem is reduced?

02

User Link

Who benefits and how?

03

Metric Link

What can be measured?

04

BM Link

How does impact grow with the business?

The 17 SDGs Are a Map of Business-Relevant Problems

Use the goals to locate the development problem, then choose only the SDGs your model can influence and measure.

01 No Poverty Basic services, income, resilience	02 Zero Hunger Food security, agriculture, nutrition	03 Good Health and Well-Being Access, safety, care quality	04 Quality Education Learning access and outcomes	05 Gender Equality Women, girls, finance, safety	06 Clean Water and Sanitation Water, sanitation, hygiene
07 Affordable and Clean Energy Affordable reliable energy	08 Decent Work and Economic Growth Jobs, productivity, inclusion	09 Industry, Innovation and Infrastructure Infrastructure and resilient systems	10 Reduced Inequalities Inclusion by region or income	11 Sustainable Cities and Communities Mobility, housing, urban services	12 Responsible Consumption and Production Waste, reuse, circular models
13 Climate Action Emissions and adaptation	14 Life Below Water Oceans, fisheries, waterways	15 Life on Land Biodiversity, soil, forests	16 Peace, Justice and Strong Institutions Trust, justice, transparency	17 Partnerships for the Goals Finance, data, cooperation	HOW TO USE Select only the goals where the business model can create measurable change.

Turn SDG Claims Into Management Activities

Do not stop at "we support SDG 3 or 7." The goal must change how the startup designs, operates, measures, and scales.

01 Product Design

Build the impact into the core job-to-be-done: access, safety, affordability, reliability, learning, income, or waste reduction.

Management question: What feature or workflow directly produces the SDG outcome?

02 Pricing and Access

Use pricing, financing, distribution, or onboarding to reach the target users without breaking unit economics.

Management question: Who is excluded by price, channel, trust, language, data, or geography?

03 Operations & Supply Chain

Measure delivery reliability, emissions, waste, worker safety, supplier quality, and service continuity.

Management question: Which operational metric proves that impact grows as the business scales?

04 People and Governance

Set standards for labor, inclusion, data protection, accountability, and partner behavior.

Management question: What policy prevents the model from creating harm while growing?

05 Partnerships

Use schools, clinics, agents, cooperatives, logistics partners, government, or NGOs to reach users and build trust.

Management question: Which partner increases access, credibility, or execution capacity?

06 Impact Measurement

Define baselines, behavior metrics, user outcomes, and business metrics together.

Management question: What number would change a business decision, not just decorate a report?

Startup Cases: Access, Energy, and Productive Work

These examples show SDG alignment becoming part of the operating model rather than a separate impact slogan.

01 M-KOPA

PAYG financing helps customers access smartphones, solar, and productive assets while repayment and usage data support the business model.

SDG link: energy access, financial inclusion, income generation.

02 d.light

Affordable off-grid solar products and pay-go financing address household energy access while creating a scalable customer-finance model.

SDG link: clean energy, poverty reduction, education and health benefits.

03 Solar Sister

Women-led clean-energy entrepreneurship turns distribution into both income creation and last-mile access.

SDG link: gender equality, decent work, clean energy.

04 Hello Tractor

A tractor-sharing platform improves mechanization access for smallholder farmers without requiring full asset ownership.

SDG link: zero hunger, decent work, agricultural productivity.

Startup Cases: Health, Waste, Logistics, and Food Systems

Use these cases to show that SDG integration can appear in health reliability, circular economy, supply chains, and consumption behavior.

01 LifeBank

Cold-chain delivery of blood and medical supplies links health impact to logistics reliability, fulfillment, and hospital trust.

SDG link: good health, resilient infrastructure.

02 Zipline

Medical drone logistics makes emergency supply access measurable through delivery time, coverage, and successful fulfillment.

SDG link: health access, infrastructure, partnerships.

03 Wecyclers

Incentivized recycling helps low-income communities capture value from waste while improving urban sanitation and material recovery.

SDG link: responsible consumption, sustainable cities, decent work.

04 Too Good To Go

A marketplace for surplus food lets businesses reduce waste and recover revenue while consumers access discounted meals.

SDG link: responsible consumption, climate action, food waste reduction.

Translate SDG Into Metrics

Make impact observable, business-relevant, and easy to test in the model.

01

Access

Measure whether underserved users can actually complete the job through your channel.

02

Affordability

Measure whether users can afford the service without breaking the unit economics.

03

Reliability

Measure delay, failure, downtime, or successful fulfillment rather than claiming broad impact.

04

Income / Productivity

Measure whether users earn more, save time, reduce waste, or transact more often.

05

Safety / Trust

Measure whether the model reduces risk and increases confidence in the transaction or service.

Impact Metrics Should Also Improve the Business

The strongest SDG alignment grows with adoption: the same metric should prove impact and improve business performance.

01 Access → Market Expansion	Underserved users complete the job; reachable market and channel productivity grow.	BUSINESS LIFT More active users; stronger distribution story
02 Affordability → Conversion	PAYG, shared assets, or usage-based pricing raise adoption without breaking economics.	BUSINESS LIFT Higher conversion; clearer pricing logic
03 Reliability → Retention	When delay and failure drop, customers trust the service enough to repeat use.	BUSINESS LIFT Higher retention; fewer support costs
04 Income → Transaction Volume	If users earn or save time, the solution ties directly to business performance.	BUSINESS LIFT Larger wallet share; stronger willingness to pay
05 Safety → Trust Advantage	Lower risk makes adoption possible in trust-constrained markets.	BUSINESS LIFT Lower churn; harder-to-copy reputation

M-KOPA: Pay-As-You-Go Access

Impact and revenue reinforce each other.

CASE STUDY

M-KOPA

Read the case as a decision: what pain was real, what evidence mattered, and what can transfer to the team's own model?

01 Problem

Off-grid and underbanked households may value energy or productive assets but cannot afford large upfront payments.

02 Model

Pay-as-you-go financing through mobile money converts asset access into smaller recurring payments and usage behavior.

03 Impact

Access to energy, smartphones, or productive assets can improve inclusion, household productivity, and income opportunity.

04 Metric

Repayment, usage, retention, upgrade behavior, and income-related outcomes connect impact to business health.

Zipline: Appropriate Tech Logic

The starting problem was urgent and measurable.

CASE STUDY

Zipline

Read the case as a decision: what pain was real, what evidence mattered, and what can transfer to the team's own model?

01 Problem

Medical supplies can fail to reach remote facilities fast enough, and delay can create severe health consequences.

02 Solution

Drone logistics is useful only because the delivery problem is urgent, time-sensitive, and hard for existing logistics to solve.

03 Impact

Faster access to critical medical supplies can improve emergency response and health-system reliability.

04 Metric

Delivery time, successful fulfillment, stockout reduction, facility coverage, and emergency response reliability make the claim measurable.

PART 3

Unfair Advantage

Defensibility grows from execution, data, trust, and network.

Types of Unfair Advantage

Seven structural advantages a competitor cannot simply buy.

TYPE	DEFINITION
Insider Knowledge	Structural insight into an industry or market that outsiders cannot access — built through years of lived experience that cannot be bought.
Dream Team / Founder–Market Fit	The founding team's combined backgrounds, skills, and networks align so precisely with the problem that the team composition itself becomes the advantage.
Personal Authority / Domain Credibility	Reputation, credibility, and verified track record built over time in a specific field — trust that cannot be purchased and takes years to earn.
Network Effects	A structure where the product becomes exponentially more valuable as the user base grows — late competitors are permanently disadvantaged by starting with an empty network.
Exclusive Access / Strategic Asset	Licenses, partnerships, exclusive contracts, proprietary infrastructure, or data that create a structural barrier competitors cannot easily replicate.
Community & Tribe	A loyal user base that forms around shared identity and belonging, where customers voluntarily become evangelists in ways a marketing budget cannot manufacture.
Proprietary Data / Feedback Loop	A compounding cycle where user behavior generates data, data improves the product, and improvement attracts more users — creating a moat that widens with every new customer.

UVP and Unfair Advantage Must Align

Case Study — most cases show 2–3 unfair advantages working together.

COMPANY	UVP (TO THE CUSTOMER)	UNFAIR ADVANTAGE (VS COMPETITORS)	UA TYPE
Paystack Fintech — Payments	"Accept payments in minutes, not weeks"	Bank insider background + Nigeria's first YC company network	Insider Knowledge + Personal Authority
PiggyVest Fintech — Savings	"Money locked away from yourself"	Avengers community + viral trust loop + 9M users of behavioral data	Community & Tribe + Proprietary Data
Moniepoint Fintech — POS / SME	"Card payments accepted anywhere in Nigeria"	Early CBN POS license + nationwide hardware distribution network	Exclusive Access + Network Effects
Jumia Nigeria E-commerce / Logistics	"Shop and get delivered without leaving home"	First-mover warehouse infrastructure + last-mile delivery network across 36 states	Exclusive Access + Network Effects
Farmcrowdy AgriTech	"Invest in verified farms and earn returns"	Direct farmer network built over years + insider knowledge of Nigerian crop cycles and risks	Insider Knowledge + Exclusive Access
Andela EdTech / Training	"Get hired as a world-class developer without leaving Africa"	First-mover global brand recognition + alumni network that creates its own candidate pipeline	Personal Authority + Network Effects
LifeBank Health	"Get blood delivered to your hospital in under 3 hours"	Mapped Nigeria's entire blood bank inventory — data no competitor has built + hospital trust	Proprietary Data + Insider Knowledge
PropertyPro Real Estate	"Find verified property listings without agent fraud"	Largest verified property database in Nigeria — a late entrant starts with an empty catalogue	Proprietary Data + Network Effects

WHAT IS YOUR UNFAIR ADVANTAGE?

Build Your Unfair Advantage

Assess existing strengths vs. future strengths to build.

TYPE	WHAT ARE THE ADVANTAGES YOU HAVE?	WHAT ADVANTAGES DO YOU HAVE TO BUILD?
Insider Knowledge		
Dream Team / Founder-Market Fit		
Personal Authority / Domain Credibility		
Network Effects		
Exclusive Access / Strategic Asset		
Community & Tribe		
Proprietary Data / Feedback Loop		

Weak vs Strong Advantage

A strong advantage survives competitor attention.

RISK

Weak

We are passionate, first, cheaper, or feature-rich.

BETTER DIRECTION

Strong

We own distribution, data, trust, switching cost, or network effects.

Check the System Fit

Each block must support the others.

01

Pain to Segment

Does the segment strongly feel the pain?

02

Segment to Channel

Can we reach them repeatedly?

03

Solution to Metric

Can we measure behavior change?

04

Revenue to Cost

Can the model sustain delivery?

05

Impact to Advantage

Does impact strengthen adoption or trust?

BRIDGE · SESSION 4

Next Session — Marketing Strategy & GTM

GTM turns a promising model into a focused plan for reaching the first market.